CAPITAL IMPROVEMENT PLAN

Hollis Marlow Collegiate Commons | Raleigh, NC

Property	Hollis Marlow Collegiate Commons
Plan Date	October 18, 2024
Prepared For	Cascadia Rock Capital
Total Plan Budget	$19,000

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Security camera upgrade	Building	12/06/26	Q2 2025	$363,000	$269,836	In progress
ADA compliance	Building	01/11/25	Q2 2026	$598,000	$230,194	Complete
Roof replacement - Bldg B	Energy	03/29/26	Q3 2025	$76,000	$3,470	Approved
Exterior paint	Life Safety	11/21/23	Q4 2025	$809,000	$30,047	Bidding
Fence replacement	Energy	04/18/23	Q4 2026	$766,000	$529,537	Complete
Sewer line repair	Interior	09/07/25	Q3 2027	$605,000	$269,288	Complete
Landscape / irrigation	Energy	08/21/25	Q3 2027	$77,000	$37,165	Complete
Signage / monument	Site	07/04/23	Q3 2025	$532,000	$483,406	Approved
Fire alarm panel upgrade	Interior	03/11/23	Q4 2027	$743,000	$607,811	Bidding
Sewer line repair	Life Safety	04/21/23	Q3 2027	$216,000	$138,357	Complete
Sewer line repair	Energy	03/15/25	Q1 2027	$549,000	$339,743	Deferred
Amenity renovation	Site	07/28/24	Q3 2027	$416,000	$145,891	Bidding
Fence replacement	Interior	10/28/23	Q3 2026	$704,000	$68,129	Bidding
ADA compliance	Interior	01/08/23	Q2 2027	$233,000	$153,641	In progress
Storefront glazing	Site	10/02/23	Q4 2025	$771,000	$39,610	In progress
Parking lot resurfacing	Life Safety	06/14/26	Q3 2025	$123,000	$10,119	Approved
Security camera upgrade	Energy	04/19/25	Q4 2027	$367,000	$220,131	Complete
Landscape / irrigation	Life Safety	11/19/26	Q2 2026	$818,000	$438,188	Bidding
LED lighting retrofit	Site	08/06/25	Q3 2027	$776,000	$299,711	In progress
Amenity renovation	Energy	05/07/24	Q3 2025	$426,000	$379,986	Bidding
Roof replacement - Bldg B	Life Safety	11/03/24	Q4 2026	$317,000	$202,176	Complete
Lobby renovation	Building	11/30/23	Q4 2026	$851,000	$668,598	Deferred
Landscape / irrigation	Site	01/26/24	Q1 2027	$741,000	$757,610	Complete
Door hardware	Energy	07/14/26	Q1 2025	$237,000	$117,506	Complete
Elevator modernization	Energy	01/27/24	Q2 2027	$724,000	$628,685	Complete

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Parking lot resurfacing	Life Safety	07/27/24	Q2 2026	$441,000	$453,573	Approved
LED lighting retrofit	Site	11/07/25	Q1 2026	$605,000	$398,852	Complete
LED lighting retrofit	Interior	10/01/25	Q3 2026	$226,000	$205,306	Bidding
Fence replacement	Interior	12/16/25	Q2 2026	$264,000	$249,429	In progress
Elevator modernization	Life Safety	02/05/24	Q1 2026	$755,000	$132,064	In progress
Elevator modernization	Building	11/10/26	Q3 2025	$259,000	$17,673	Bidding
Roof replacement - Bldg A	Site	08/10/25	Q3 2026	$779,000	$702,163	In progress
Parking lot resurfacing	Energy	10/31/24	Q2 2026	$450,000	$114,104	Bidding
Unit interior upgrades	Life Safety	03/07/25	Q4 2027	$104,000	$19,893	Complete
Lobby renovation	Energy	06/08/24	Q1 2027	$725,000	$144,709	Complete
Roof replacement - Bldg B	Life Safety	04/27/25	Q1 2025	$526,000	$501,171	In progress
Pool resurfacing	Building	06/28/24	Q2 2025	$683,000	$14,546	Approved
HVAC replacement	Life Safety	08/28/26	Q2 2027	$564,000	$300,084	In progress
Exterior paint	Life Safety	05/03/26	Q4 2025	$694,000	$471,255	Complete
Roof replacement - Bldg C	Site	02/27/23	Q4 2026	$331,000	$293,831	Complete
Signage / monument	Building	10/26/24	Q1 2026	$714,000	$303,798	Deferred
Unit interior upgrades	Site	01/02/26	Q1 2026	$164,000	$83,580	Deferred
Roof replacement - Bldg B	Site	09/24/24	Q3 2026	$492,000	$511,545	Bidding
Fence replacement	Energy	06/28/23	Q3 2026	$327,000	$265,794	Complete
Security camera upgrade	Life Safety	11/21/25	Q2 2026	$708,000	$705,831	Deferred
Amenity renovation	Energy	04/11/24	Q2 2025	$521,000	$461,657	Approved
Lobby renovation	Building	07/13/24	Q3 2027	$301,000	$150,573	Bidding
Security camera upgrade	Building	07/02/26	Q3 2025	$395,000	$28,491	Approved
LED lighting retrofit	Interior	03/11/25	Q2 2027	$480,000	$127,155	Complete
Elevator modernization	Building	03/06/25	Q2 2027	$898,000	$298,372	Complete
LED lighting retrofit	Building	12/26/23	Q3 2027	$125,000	$54,073	Complete
Lobby renovation	Site	12/21/25	Q3 2025	$477,000	$160,477	Bidding
Landscape / irrigation	Energy	11/03/23	Q3 2027	$279,000	$242,639	Deferred
Exterior paint	Interior	11/26/23	Q4 2025	$413,000	$303,971	Approved
Pool resurfacing	Life Safety	08/19/26	Q4 2025	$744,000	$436,544	In progress
Elevator modernization	Interior	01/07/23	Q3 2025	$660,000	$627,156	Complete
Elevator modernization	Building	03/13/25	Q3 2026	$218,000	$63,751	In progress
Security camera upgrade	Building	02/07/24	Q3 2027	$546,000	$378,602	Deferred
HVAC replacement	Site	11/13/23	Q3 2026	$256,000	$173,027	In progress
Fence replacement	Life Safety	07/24/26	Q1 2026	$707,000	$541,909	In progress
Amenity renovation	Life Safety	06/21/26	Q1 2026	$61,000	$34,896	In progress
Water heater replacement	Energy	10/13/24	Q3 2027	$590,000	$67,489	Approved
Fire alarm panel upgrade	Energy	01/16/24	Q2 2027	$436,000	$105,752	Bidding
Exterior paint	Building	04/08/24	Q3 2025	$42,000	$25,771	Bidding
Elevator modernization	Energy	10/29/25	Q2 2025	$456,000	$316,218	In progress
Pool resurfacing	Building	01/14/23	Q2 2027	$126,000	$29,664	Complete
Pool resurfacing	Building	08/07/23	Q4 2025	$379,000	$152,577	Approved

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Recommendations

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $246,000. Elevators were last modernized 4 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 15 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $436,000. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Investor Distributions

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

The property is located 8 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 4.9% on contributed capital. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns.

Recommendations

Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 28 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $15,000.

Elevators were last modernized 10 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 34 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Investor Distributions

The property is located 8 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 6.2% on contributed capital. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns.

Distributions to investors for the quarter were paid at an annualized rate of 7.4% on contributed capital. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Recommendations

Elevators were last modernized 5 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 8 months.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $305,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 41 months.

Business Plan Progress

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 4.2% on contributed capital. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Sewer line repair	Site	03/11/25	Q2 2027	$274,000	$274,839	Bidding
Door hardware	Interior	06/01/24	Q3 2027	$444,000	$295,173	Approved
Pool resurfacing	Site	02/27/25	Q1 2026	$511,000	$247,605	Complete
Roof replacement - Bldg A	Energy	12/02/26	Q4 2026	$297,000	$183,790	Deferred
Storefront glazing	Interior	03/08/24	Q3 2025	$72,000	$25,979	Approved
Fence replacement	Interior	12/16/24	Q3 2025	$443,000	$362,412	Complete
Roof replacement - Bldg D	Building	01/30/24	Q2 2025	$377,000	$139,198	Deferred
ADA compliance	Building	12/25/26	Q4 2025	$733,000	$715,183	In progress
LED lighting retrofit	Building	10/01/23	Q3 2026	$890,000	$648,243	Deferred
Exterior paint	Energy	05/06/23	Q1 2027	$67,000	$69,432	In progress
Lobby renovation	Site	06/05/23	Q1 2025	$687,000	$419,136	Deferred
Door hardware	Life Safety	04/03/24	Q4 2025	$86,000	$75,896	Complete
Storefront glazing	Interior	04/10/24	Q1 2026	$629,000	$370,645	Bidding
Lobby renovation	Site	09/02/23	Q4 2025	$372,000	$304,106	Approved
Pool resurfacing	Energy	09/03/23	Q2 2027	$319,000	$156,375	Complete
Parking lot resurfacing	Site	03/25/26	Q3 2025	$295,000	$53,790	Deferred
Exterior paint	Building	01/15/25	Q1 2026	$469,000	$479,284	In progress
Water heater replacement	Interior	02/14/25	Q2 2027	$47,000	$47,884	Approved
Lobby renovation	Interior	05/23/23	Q3 2026	$590,000	$390,426	Deferred
Parking lot resurfacing	Life Safety	04/04/24	Q1 2026	$502,000	$392,888	Bidding
Exterior paint	Energy	05/27/24	Q1 2027	$390,000	$155,312	Deferred
Lobby renovation	Life Safety	09/12/25	Q2 2027	$539,000	$201,826	Deferred
HVAC replacement	Life Safety	10/28/26	Q4 2027	$608,000	$343,352	Bidding
Unit interior upgrades	Life Safety	06/12/26	Q4 2026	$316,000	$256,817	In progress
Lobby renovation	Building	02/22/24	Q4 2025	$766,000	$188,714	In progress
Unit interior upgrades	Building	12/02/23	Q1 2026	$801,000	$313,597	In progress
Security camera upgrade	Energy	11/21/25	Q2 2027	$177,000	$72,170	Complete
Amenity renovation	Energy	09/09/23	Q2 2027	$273,000	$113,105	Bidding
ADA compliance	Energy	07/14/25	Q4 2026	$362,000	$198,213	Approved
Roof replacement - Bldg C	Building	07/23/26	Q1 2025	$491,000	$66,820	Bidding
Pool resurfacing	Building	04/03/25	Q4 2027	$106,000	$91,094	Bidding
Exterior paint	Site	11/21/23	Q1 2027	$51,000	$17,615	Deferred
Pool resurfacing	Site	12/21/25	Q4 2025	$202,000	$81,569	Complete
Storefront glazing	Interior	01/26/26	Q4 2027	$385,000	$86,294	In progress
Landscape / irrigation	Interior	12/30/24	Q3 2026	$125,000	$98,784	In progress
Fence replacement	Energy	10/30/23	Q4 2025	$609,000	$281,488	In progress
Water heater replacement	Building	12/23/24	Q4 2026	$13,000	$4,474	Complete
ADA compliance	Building	05/11/25	Q4 2025	$483,000	$484,240	Deferred
Water heater replacement	Energy	02/22/25	Q1 2026	$739,000	$245,973	Deferred
Elevator modernization	Life Safety	02/05/25	Q4 2027	$763,000	$292,311	Complete
Water heater replacement	Energy	12/30/24	Q3 2025	$451,000	$246,082	Complete
Landscape / irrigation	Building	08/21/23	Q4 2026	$660,000	$309,796	In progress

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Recommendations

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 34 months. Elevators were last modernized 5 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $180,000.

Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 12.0% with an equity multiple of 1.23x over the hold period. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Pre-leasing for the coming academic year stands at 90.1% with rental rates per bed averaging $1,332. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 5.6% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Deferred Maintenance

Elevators were last modernized 8 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 32 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $368,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 5 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Investor Distributions

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The property is located 8 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 3.3% on contributed capital. Pre-leasing for the coming academic year stands at 93.8% with rental rates per bed averaging $1,332. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Pre-leasing for the coming academic year stands at 95.1% with rental rates per bed averaging $1,332. The property is located 2 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 11.7% with an equity multiple of 1.17x over the hold period. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Observed Conditions

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 8 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $213,000. Elevators were last modernized 12 years ago and are operating without deficiency.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 13 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $124,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 6 years ago and are operating without deficiency.

Investment Overview

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Elevator modernization	Energy	05/27/23	Q3 2026	$717,000	$21,876	In progress
Fence replacement	Site	11/20/26	Q2 2027	$529,000	$86,663	Approved
Landscape / irrigation	Energy	01/03/23	Q3 2026	$156,000	$58,198	Deferred
LED lighting retrofit	Interior	01/22/26	Q2 2026	$856,000	$162,836	Bidding
LED lighting retrofit	Building	10/01/26	Q4 2027	$430,000	$94,259	In progress
Landscape / irrigation	Energy	12/01/24	Q1 2027	$825,000	$826,422	In progress
Parking lot resurfacing	Energy	08/13/23	Q1 2027	$293,000	$202,778	Approved
Door hardware	Interior	06/21/23	Q2 2026	$370,000	$290,559	Approved
Lobby renovation	Site	10/05/24	Q4 2026	$319,000	$172,261	Deferred
ADA compliance	Site	09/09/23	Q2 2026	$166,000	$164,636	Bidding
Storefront glazing	Site	04/20/26	Q2 2026	$819,000	$736,011	Deferred
Amenity renovation	Life Safety	10/01/23	Q3 2027	$373,000	$145,658	Deferred
Unit interior upgrades	Site	01/25/25	Q4 2027	$62,000	$41,361	Approved
Unit interior upgrades	Life Safety	12/04/26	Q1 2026	$185,000	$43,108	Deferred
Landscape / irrigation	Life Safety	04/20/25	Q3 2026	$757,000	$309,189	Bidding
Pool resurfacing	Building	07/28/25	Q2 2025	$220,000	$30,511	Bidding
Landscape / irrigation	Site	01/03/26	Q1 2027	$143,000	$144,601	Deferred
Parking lot resurfacing	Site	11/07/23	Q1 2026	$349,000	$11,946	Complete
LED lighting retrofit	Interior	11/13/26	Q1 2026	$324,000	$250,724	Deferred
Unit interior upgrades	Energy	06/12/25	Q4 2026	$437,000	$140,902	Complete
Amenity renovation	Interior	04/25/25	Q2 2027	$391,000	$23,534	Approved
Sewer line repair	Site	02/14/26	Q2 2025	$219,000	$77,757	Bidding
LED lighting retrofit	Building	10/06/25	Q2 2026	$720,000	$731,005	Complete
Door hardware	Energy	09/05/23	Q1 2027	$512,000	$525,905	Deferred
Amenity renovation	Energy	01/13/26	Q1 2027	$53,000	$38,855	In progress
Door hardware	Building	09/17/23	Q1 2025	$686,000	$376,045	Complete
Fire alarm panel upgrade	Energy	05/13/24	Q3 2025	$144,000	$123,395	Bidding
Fire alarm panel upgrade	Life Safety	09/07/24	Q2 2026	$37,000	$19,714	Approved
Parking lot resurfacing	Building	12/26/25	Q2 2025	$489,000	$60,805	Bidding
ADA compliance	Building	11/08/26	Q2 2027	$307,000	$148,978	Deferred
Exterior paint	Site	03/20/25	Q4 2026	$888,000	$383,961	Approved
LED lighting retrofit	Life Safety	12/08/24	Q3 2027	$135,000	$127,984	In progress
Parking lot resurfacing	Site	09/13/26	Q1 2025	$352,000	$250,516	In progress
Security camera upgrade	Site	06/04/25	Q4 2027	$419,000	$26,110	Approved
Exterior paint	Energy	05/15/25	Q3 2025	$737,000	$474,747	Bidding
Fence replacement	Life Safety	08/31/25	Q1 2026	$893,000	$632,886	In progress
LED lighting retrofit	Life Safety	09/20/23	Q3 2026	$378,000	$230,429	Approved
Elevator modernization	Energy	07/02/26	Q1 2026	$825,000	$857,962	In progress
Fence replacement	Building	01/28/26	Q4 2027	$181,000	$4,001	Complete
Fire alarm panel upgrade	Site	10/04/24	Q1 2026	$24,000	$2,594	Bidding
Fence replacement	Building	01/20/26	Q3 2027	$782,000	$483,204	Approved

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Deferred Maintenance

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 13 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $61,000. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 33 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $369,000.

Business Plan Progress

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Pre-leasing for the coming academic year stands at 94.1% with rental rates per bed averaging $1,332.

The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Distributions to investors for the quarter were paid at an annualized rate of 5.5% on contributed capital. Projected levered IRR is 9.3% with an equity multiple of 1.45x over the hold period.

Deferred Maintenance

Elevators were last modernized 6 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $351,000.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 21 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Investment Overview

The property is located 9 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Distributions to investors for the quarter were paid at an annualized rate of 5.6% on contributed capital. Projected levered IRR is 12.0% with an equity multiple of 1.40x over the hold period. Pre-leasing for the coming academic year stands at 91.6% with rental rates per bed averaging $1,332. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Projected levered IRR is 5.7% with an equity multiple of 1.21x over the hold period. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Pre-leasing for the coming academic year stands at 91.2% with rental rates per bed averaging $1,332.

Deferred Maintenance

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 43 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $286,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 9 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $41,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 19 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Investment Overview

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 5.7% on contributed capital. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. The property is located 7 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Signage / monument	Site	01/18/23	Q1 2025	$76,000	$50,381	Bidding
Unit interior upgrades	Life Safety	12/31/23	Q2 2027	$752,000	$728,519	Bidding
Fire alarm panel upgrade	Site	05/12/24	Q3 2025	$386,000	$145,366	Bidding
HVAC replacement	Building	11/29/26	Q3 2027	$460,000	$351,301	Bidding
Fence replacement	Building	12/28/26	Q1 2025	$880,000	$242,284	Approved
Exterior paint	Energy	06/18/25	Q4 2026	$69,000	$62,541	Complete
Elevator modernization	Building	11/14/23	Q1 2025	$408,000	$160,983	Deferred
Exterior paint	Life Safety	04/14/25	Q1 2026	$604,000	$180,956	Complete
Amenity renovation	Energy	06/08/24	Q2 2026	$889,000	$433,644	Complete
Sewer line repair	Energy	12/12/26	Q2 2025	$402,000	$311,370	Deferred
LED lighting retrofit	Site	01/28/24	Q4 2027	$221,000	$172,569	Complete
LED lighting retrofit	Interior	11/25/24	Q2 2027	$302,000	$152,678	Deferred
Water heater replacement	Interior	12/15/26	Q1 2025	$321,000	$37,612	Bidding
Exterior paint	Site	08/19/25	Q1 2025	$360,000	$29,314	Deferred
Storefront glazing	Life Safety	01/28/23	Q1 2026	$738,000	$571,180	In progress
Landscape / irrigation	Life Safety	07/19/24	Q2 2027	$104,000	$28,971	In progress
Elevator modernization	Building	07/14/23	Q1 2026	$475,000	$450,213	Approved
LED lighting retrofit	Site	10/27/23	Q4 2027	$832,000	$650,358	Deferred
Fire alarm panel upgrade	Life Safety	06/28/25	Q1 2025	$261,000	$273,683	Deferred
Fence replacement	Building	05/16/23	Q3 2026	$385,000	$265,901	In progress
HVAC replacement	Energy	11/08/24	Q4 2025	$739,000	$470,619	Approved
Lobby renovation	Building	07/05/23	Q4 2025	$813,000	$369,272	Bidding
Fence replacement	Energy	12/12/26	Q1 2027	$303,000	$202,046	Complete
HVAC replacement	Life Safety	05/06/25	Q4 2025	$690,000	$428,644	Complete
Roof replacement - Bldg A	Energy	01/06/23	Q2 2026	$265,000	$260,375	Complete
Exterior paint	Energy	12/06/24	Q4 2026	$116,000	$13,692	Deferred
Elevator modernization	Building	01/31/26	Q3 2025	$603,000	$59,301	Approved
Lobby renovation	Interior	06/11/23	Q1 2025	$621,000	$36,862	Bidding
Security camera upgrade	Building	04/12/25	Q4 2025	$290,000	$256,030	In progress
LED lighting retrofit	Building	02/15/24	Q3 2025	$302,000	$209,379	Complete
Exterior paint	Building	04/30/24	Q3 2026	$270,000	$62,378	In progress
Sewer line repair	Life Safety	10/31/24	Q1 2025	$286,000	$231,625	Bidding
Security camera upgrade	Building	05/15/26	Q4 2027	$401,000	$360,798	Complete
Roof replacement - Bldg C	Interior	12/21/26	Q3 2026	$883,000	$182,039	Approved
Landscape / irrigation	Life Safety	02/17/24	Q1 2027	$685,000	$448,553	Bidding
Door hardware	Life Safety	12/17/26	Q4 2026	$469,000	$259,743	Approved
Signage / monument	Interior	04/17/24	Q3 2025	$665,000	$497,565	Complete
Exterior paint	Interior	08/04/24	Q4 2027	$167,000	$117,215	Complete
Elevator modernization	Life Safety	08/15/23	Q3 2026	$277,000	$282,886	Bidding
Storefront glazing	Energy	03/17/25	Q1 2027	$759,000	$714,097	In progress

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Deferred Maintenance

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 7 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $444,000. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 22 months. Elevators were last modernized 4 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Business Plan Progress

Pre-leasing for the coming academic year stands at 89.6% with rental rates per bed averaging $1,332. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 3.1% on contributed capital. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The property is located 8 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 10.8% with an equity multiple of 1.23x over the hold period. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Distributions to investors for the quarter were paid at an annualized rate of 5.3% on contributed capital. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Observed Conditions

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 10 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $146,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 10 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 37 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The property is located 9 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Pre-leasing for the coming academic year stands at 93.8% with rental rates per bed averaging $1,332.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $433,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 9 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $295,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 33 months. Elevators were last modernized 9 years ago and are operating without deficiency.

Investment Overview

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Landscape / irrigation	Life Safety	06/04/25	Q3 2025	$46,000	$9,295	Deferred
Lobby renovation	Building	07/18/25	Q3 2025	$558,000	$230,898	Complete
Fence replacement	Life Safety	02/14/23	Q4 2027	$859,000	$724,927	Deferred
Signage / monument	Life Safety	12/27/25	Q2 2025	$863,000	$303,703	Bidding
Fence replacement	Life Safety	04/24/24	Q4 2027	$514,000	$235,200	In progress
Amenity renovation	Building	05/08/26	Q2 2025	$480,000	$450,032	Approved
Fence replacement	Site	01/05/25	Q3 2025	$354,000	$140,244	Approved
Storefront glazing	Building	12/14/26	Q1 2025	$400,000	$288,683	Bidding
Exterior paint	Interior	10/07/25	Q2 2027	$158,000	$63,353	Approved
Sewer line repair	Energy	08/31/26	Q4 2025	$693,000	$47,953	In progress
Door hardware	Energy	05/10/23	Q1 2025	$303,000	$33,633	Approved
Signage / monument	Building	06/26/26	Q3 2027	$285,000	$21,254	In progress
Security camera upgrade	Energy	12/29/25	Q3 2027	$267,000	$233,300	Deferred
Unit interior upgrades	Life Safety	09/28/26	Q4 2025	$330,000	$120,875	Complete
Signage / monument	Life Safety	09/08/25	Q3 2027	$48,000	$25,850	In progress
LED lighting retrofit	Site	05/28/25	Q1 2026	$860,000	$755,950	Approved
Sewer line repair	Building	07/17/25	Q3 2025	$99,000	$25,403	Approved
LED lighting retrofit	Site	12/08/26	Q4 2027	$123,000	$11,769	Bidding
Exterior paint	Building	11/14/24	Q2 2027	$154,000	$69,632	In progress
Water heater replacement	Interior	07/22/26	Q3 2026	$438,000	$124,991	In progress
Signage / monument	Energy	01/13/23	Q3 2027	$606,000	$145,190	Bidding
HVAC replacement	Energy	01/31/26	Q2 2025	$615,000	$362,374	Bidding
ADA compliance	Interior	12/20/25	Q4 2026	$431,000	$128,903	In progress
Fence replacement	Energy	02/14/23	Q1 2026	$216,000	$202,613	In progress
Amenity renovation	Energy	01/18/24	Q2 2025	$310,000	$185,009	Deferred
HVAC replacement	Energy	05/10/23	Q4 2025	$850,000	$511,141	Bidding
Exterior paint	Building	02/21/24	Q3 2026	$312,000	$288,125	Complete
Lobby renovation	Building	10/24/23	Q3 2027	$9,000	$774	Bidding
Fence replacement	Building	04/13/26	Q2 2027	$494,000	$285,679	Deferred
Sewer line repair	Life Safety	07/14/26	Q2 2026	$561,000	$176,969	Bidding
Exterior paint	Site	05/30/26	Q4 2026	$833,000	$733,186	Complete
Amenity renovation	Life Safety	10/10/23	Q2 2026	$520,000	$316,744	Bidding
Security camera upgrade	Interior	06/25/25	Q2 2026	$147,000	$96,395	Deferred
Pool resurfacing	Interior	09/01/23	Q1 2026	$751,000	$310,328	In progress
Door hardware	Life Safety	09/12/26	Q1 2025	$448,000	$319,855	Complete
Landscape / irrigation	Building	11/17/24	Q3 2025	$422,000	$258,014	In progress
Storefront glazing	Life Safety	10/24/26	Q1 2025	$533,000	$162,309	Bidding
Exterior paint	Building	04/16/26	Q1 2027	$368,000	$382,514	Approved
Parking lot resurfacing	Life Safety	12/23/23	Q2 2027	$390,000	$399,604	Complete
Parking lot resurfacing	Site	12/06/25	Q3 2025	$24,000	$18,519	Deferred
Signage / monument	Building	08/12/26	Q3 2027	$16,000	$1,844	In progress
ADA compliance	Site	05/19/26	Q2 2027	$889,000	$306,864	Approved

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Recommendations

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 31 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $464,000. Elevators were last modernized 3 years ago and are operating without deficiency.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $319,000. Elevators were last modernized 7 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 16 months.

Investment Overview

The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. The property is located 6 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Distributions to investors for the quarter were paid at an annualized rate of 6.5% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 8.0% on contributed capital. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Deferred Maintenance

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 11 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $311,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 23 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $360,000.

Investment Overview

Pre-leasing for the coming academic year stands at 89.5% with rental rates per bed averaging $1,332. The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 3.6% on contributed capital.

Distributions to investors for the quarter were paid at an annualized rate of 5.7% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. The property is located 2 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 3.9% with an equity multiple of 1.8x over the hold period.

Observed Conditions

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $142,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 12 years ago and are operating without deficiency.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fence replacement	Site	09/14/24	Q2 2026	$800,000	$168,587	Complete
Exterior paint	Life Safety	09/25/23	Q2 2026	$724,000	$518,268	Approved
Sewer line repair	Interior	06/01/24	Q1 2026	$785,000	$467,331	Deferred
Water heater replacement	Site	01/16/23	Q4 2025	$478,000	$52,019	Approved
Landscape / irrigation	Life Safety	04/12/24	Q1 2026	$683,000	$424,763	Bidding
Security camera upgrade	Interior	06/14/23	Q4 2025	$653,000	$210,193	Approved
Signage / monument	Interior	05/13/24	Q2 2027	$281,000	$68,292	In progress
HVAC replacement	Building	11/29/26	Q3 2025	$778,000	$218,419	Bidding
Exterior paint	Building	10/31/26	Q1 2027	$507,000	$276,446	Bidding
Lobby renovation	Interior	12/23/23	Q2 2025	$603,000	$63,882	Bidding
Roof replacement - Bldg A	Interior	10/29/26	Q3 2025	$879,000	$613,761	Approved
Storefront glazing	Building	03/17/24	Q1 2027	$207,000	$11,224	Complete
Storefront glazing	Life Safety	02/12/24	Q4 2026	$780,000	$810,433	Deferred
Unit interior upgrades	Site	04/16/25	Q1 2027	$388,000	$61,641	In progress
Elevator modernization	Building	03/06/24	Q3 2027	$555,000	$329,384	Complete
Parking lot resurfacing	Interior	02/05/25	Q1 2027	$202,000	$36,281	Deferred
Door hardware	Energy	09/14/24	Q3 2026	$546,000	$394,532	Bidding
Amenity renovation	Building	07/31/24	Q2 2026	$508,000	$370,407	Approved
Pool resurfacing	Site	09/16/25	Q1 2027	$390,000	$30,448	Deferred
Fence replacement	Life Safety	04/08/23	Q2 2027	$22,000	$1,667	Complete
LED lighting retrofit	Building	11/14/24	Q3 2025	$744,000	$546,065	In progress
Exterior paint	Interior	07/19/23	Q4 2027	$805,000	$637,054	Approved
HVAC replacement	Life Safety	03/02/23	Q2 2027	$710,000	$232,879	In progress
Roof replacement - Bldg A	Interior	11/05/25	Q4 2025	$437,000	$195,117	Bidding
HVAC replacement	Interior	09/14/25	Q3 2026	$338,000	$70,737	Bidding
Parking lot resurfacing	Interior	01/05/24	Q2 2026	$209,000	$153,627	Bidding
LED lighting retrofit	Interior	01/19/24	Q1 2027	$492,000	$177,289	Approved
Fire alarm panel upgrade	Energy	11/01/26	Q1 2026	$89,000	$47,327	Deferred
Landscape / irrigation	Energy	08/29/26	Q3 2027	$520,000	$255,591	In progress
Pool resurfacing	Interior	07/11/26	Q3 2027	$167,000	$151,992	Complete
Unit interior upgrades	Building	10/05/23	Q1 2026	$67,000	$1,633	Bidding
Parking lot resurfacing	Interior	08/22/26	Q2 2027	$341,000	$19,214	Approved
Elevator modernization	Site	01/30/26	Q3 2025	$507,000	$247,534	In progress
Elevator modernization	Site	10/25/24	Q2 2026	$115,000	$120,056	Approved
LED lighting retrofit	Energy	06/28/25	Q4 2026	$111,000	$60,125	Approved
Parking lot resurfacing	Life Safety	06/29/23	Q4 2027	$562,000	$5,941	Bidding
Exterior paint	Interior	09/12/25	Q1 2026	$80,000	$14,129	Deferred
Landscape / irrigation	Building	02/18/24	Q3 2027	$22,000	$6,795	Complete
Amenity renovation	Interior	02/17/25	Q4 2026	$415,000	$57,998	In progress
Exterior paint	Energy	05/30/25	Q3 2026	$216,000	$70,419	Complete
Sewer line repair	Interior	08/27/23	Q2 2027	$726,000	$568,907	Approved
Storefront glazing	Energy	12/10/26	Q3 2027	$299,000	$93,889	Bidding

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Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $233,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 9 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $167,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Risk Considerations

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 6.9% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Distributions to investors for the quarter were paid at an annualized rate of 5.4% on contributed capital. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Projected levered IRR is 10.3% with an equity multiple of 1.18x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Observed Conditions

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 46 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 10 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $16,000.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $94,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 17 months. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Investor Distributions

The property is located 9 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 7.6% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Distributions to investors for the quarter were paid at an annualized rate of 4.6% on contributed capital.

Observed Conditions

Elevators were last modernized 10 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $435,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 31 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $442,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 10 months. Elevators were last modernized 7 years ago and are operating without deficiency.

Business Plan Progress

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Parking lot resurfacing	Life Safety	01/04/24	Q3 2025	$467,000	$152,803	Bidding
Signage / monument	Building	01/28/26	Q2 2027	$542,000	$291,900	Approved
ADA compliance	Building	11/11/24	Q2 2026	$329,000	$237,738	Deferred
Storefront glazing	Energy	03/03/23	Q3 2027	$330,000	$284,988	Approved
Landscape / irrigation	Life Safety	05/15/25	Q2 2027	$43,000	$4,324	Complete
Parking lot resurfacing	Interior	06/23/24	Q1 2026	$60,000	$25,121	Deferred
Fence replacement	Interior	02/18/25	Q2 2025	$160,000	$127,346	Deferred
Pool resurfacing	Interior	02/06/26	Q3 2026	$696,000	$76,179	Complete
Elevator modernization	Site	07/03/24	Q4 2025	$636,000	$206,249	Approved
Door hardware	Energy	03/22/24	Q1 2025	$428,000	$76,234	Complete
Security camera upgrade	Site	01/26/24	Q2 2025	$401,000	$102,224	Bidding
Security camera upgrade	Interior	11/11/24	Q4 2025	$173,000	$57,075	Approved
Amenity renovation	Life Safety	01/09/24	Q2 2025	$195,000	$14,781	Complete
Amenity renovation	Energy	12/27/25	Q3 2026	$105,000	$9,881	Bidding
Fence replacement	Interior	03/19/26	Q1 2026	$168,000	$79,473	In progress
Fence replacement	Site	11/12/24	Q4 2027	$123,000	$42,709	Deferred
Storefront glazing	Interior	10/02/23	Q3 2027	$505,000	$383,587	Bidding
Elevator modernization	Interior	10/15/26	Q2 2027	$871,000	$692,048	In progress
ADA compliance	Life Safety	04/08/25	Q1 2025	$237,000	$93,850	In progress
Storefront glazing	Building	10/30/25	Q4 2026	$392,000	$126,607	In progress
Signage / monument	Life Safety	05/17/26	Q3 2026	$868,000	$378,382	Bidding
Door hardware	Life Safety	01/29/26	Q2 2025	$47,000	$18,935	In progress
Amenity renovation	Building	06/23/24	Q1 2025	$702,000	$419,686	Bidding
Elevator modernization	Building	04/06/24	Q4 2026	$573,000	$546,434	In progress
Door hardware	Building	02/27/23	Q3 2026	$59,000	$14,770	Complete
Sewer line repair	Site	06/15/24	Q2 2027	$729,000	$28,098	In progress
LED lighting retrofit	Building	08/18/23	Q2 2025	$377,000	$172,757	Bidding
Storefront glazing	Energy	06/06/25	Q1 2025	$9,000	$7,336	Deferred
Parking lot resurfacing	Building	05/16/23	Q4 2025	$555,000	$299,186	In progress
Lobby renovation	Site	08/20/26	Q4 2026	$442,000	$297,278	Approved
Amenity renovation	Life Safety	01/23/23	Q1 2027	$254,000	$3,464	Bidding
Landscape / irrigation	Interior	02/18/23	Q2 2026	$130,000	$123,819	Approved
Landscape / irrigation	Building	02/24/23	Q3 2025	$76,000	$79,158	Approved
Parking lot resurfacing	Building	12/15/24	Q4 2027	$297,000	$122,736	Approved
Roof replacement - Bldg D	Building	01/24/24	Q3 2027	$795,000	$722,078	Deferred
Fire alarm panel upgrade	Interior	06/09/26	Q3 2025	$99,000	$17,323	In progress
Elevator modernization	Energy	01/09/25	Q2 2027	$273,000	$136,024	Bidding
Security camera upgrade	Building	12/30/23	Q2 2026	$245,000	$52,067	Approved
Pool resurfacing	Building	08/26/25	Q1 2026	$114,000	$62,056	Bidding
Storefront glazing	Life Safety	03/24/24	Q4 2027	$810,000	$7,066	In progress
Storefront glazing	Interior	07/26/24	Q2 2026	$229,000	$233,050	Complete
Amenity renovation	Site	01/21/25	Q4 2025	$689,000	$101,733	Deferred

Report generated 10/18/2024. Figures are unaudited and subject to change.

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Summary and Notes

Valuation Discussion

Operating expenses totaled $45,000 or approximately 37.83 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.23% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $445,000, representing a 3.2% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period.

The going-in capitalization rate of 5.20% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.48x on a trailing basis against a covenant minimum of 1.20x. The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Net operating income is projected to grow at a compound annual rate of 3.0% over the hold period.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 13 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day. Pre-leasing for the coming academic year stands at 90.2% with rental rates per bed averaging $1,332. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The manager completes a monthly walk of the property and submits a variance report to the owner by the 31th business day. Service requests are tracked through a work-order system with an average completion time of 9 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

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